
National Summary

Overall Economic Activity

Economic activity was little changed since the previous report, but uncertainty around international trade policy was pervasive across reports. Just five Districts saw slight growth, three Districts noted activity was relatively unchanged, and the remaining four Districts reported slight to modest declines. Non-auto consumer spending was lower overall; however, most Districts saw moderate to robust sales of vehicles and of some nondurables, generally attributed to a rush to purchase ahead of tariff-related price increases. Both leisure and business travel were down, on balance, and several Districts noted a decline in international visitors. Home sales rose somewhat, and many Districts continued to note low inventory levels. Commercial real estate (CRE) activity expanded slightly as multifamily propped up the industrial and office sectors. Loan demand was flat to modestly higher, on net. Several Districts saw a deterioration in demand for non-financial services. Transportation activity expanded modestly, on balance. Manufacturing was mixed, but two-thirds of Districts said activity was little changed or had declined. The energy sector experienced modest growth. Agricultural conditions were fairly stable across multiple Districts. Cuts to federal grants and subsidies along with declines in philanthropic donations caused gaps in services provided by many community organizations. The outlook in several Districts worsened considerably as economic uncertainty, particularly surrounding tariffs, rose.

Labor Markets

Employment was little changed to up slightly in most Districts, with one District reporting a modest increase, four reporting a slight increase, four reporting no change, and three reporting a slight decline. This is a slight deterioration from the previous report with a few more Districts reporting declines. Hiring was generally slower for consumer-facing firms than for business-to-business firms. The most notable declines in headcount were in government roles or roles at organizations receiving government funding. Several Districts reported that firms were taking a wait-and-see approach to employment, pausing or slowing hiring until there is more clarity on economic conditions. In addition, there were scattered reports of firms preparing for layoffs. Most Districts and markets reported an improvement in overall labor availability, although there were some reports of constraints on labor supply resulting from shifting immigration policies in certain sectors and regions. Wages generally grew at a modest pace, as wage growth slowed from the previous report in multiple Districts.

Note: This report was prepared at the Federal Reserve Bank of Atlanta based on information collected on or before April 14, 2025. This document summarizes comments received from contacts outside the Federal Reserve System and is not a commentary on the views of Federal Reserve officials.

Prices

Prices increased across Districts, with six characterizing price growth as modest and six characterizing it as moderate, similar to the previous report. Most Districts noted that firms expected elevated input cost growth resulting from tariffs. Many firms have already received notices from suppliers that costs would be increasing. Firms reported adding tariff surcharges or shortening pricing horizons to account for uncertain trade policy. Most businesses expected to pass through additional costs to customers. However, there were reports about margin compression amid increased costs, as demand remained tepid in some sectors, especially for consumer-facing firms.

Highlights by Federal Reserve District

Boston

Economic activity increased slightly, as the outlook became more pessimistic on tariff-related concerns. Prices rose modestly, but contacts perceived new upside risks to inflation. Employment edged up, although hiring plans became more cautious in response to increased uncertainty. IT services contacts experienced strong revenue growth and were expected to be relatively unaffected by tariffs.

New York

Economic activity contracted modestly as heightened uncertainty weighed on businesses and consumers. Employment was steady to up slightly. Price increases picked up to the higher end of the moderate range. Businesses expressed significant concern about tariffs. Outlooks darkened, with many businesses anticipating declining activity and rising prices.

Philadelphia

Business activity declined modestly during the current Beige Book period after a slight decrease in the last period. Nonmanufacturing activity fell moderately. Employment declined slightly; wages and prices again grew modestly. Generally, sentiment fell, and firms grew less optimistic about future growth amid rising economic uncertainty.

Cleveland

Reports suggested that Fourth District business activity continued to be flat in recent weeks, and contacts expected activity to remain flat in the months ahead. Consumer spending declined, though some auto dealers noted customers pulling forward purchases ahead of potential tariffs. Employment levels increased slightly, and wage pressures remained moderate.